Chapter 9
Requests for Quotation

After the purchasing department has received and processed a purchase requisition, a line item may require the purchasing department to send out a request for quotation (RFQ) to certified vendors for that material needed at a particular plant.

In some cases, the purchasing department can't process purchase requisition items by simply selecting a vendor or issuing a purchase order (PO) to a single-source vendor. In cases where the company has never used the material before, or when a new vendor is required due to vendor bankruptcy or decertification, the purchasing department will issue a request for quotation (RFQ).

In this chapter, we'll begin by discussing the business processes involved in creating RFQs, including maintaining quotation validity and specific material delivery schedules. Next, we'll cover how RFQs must be released or approved using a release strategy. A *release strategy* is a set of rules maintained in the system that must conform to your company's approval (release) process. Finally, we'll cover how to maintain quotations, perform price comparisons among quotations, and reject losing quotations.

9.1 Creating a Request for Quotation

An RFQ can be created using Transaction ME41, shown in Figure 9.1, or by following the navigation path **Logistics • Materials Management • Purchasing • RFQ/Quotation • Request for Quotation • Create**.

In this section, we'll walk you through the important steps and fields necessary to create an RFQ.

Tips & Tricks

An RFQ can also be created with reference to a purchase requisition or an outline agreement (a quantity or value contract) or even by copying an existing RFQ to

create a new one. These options are all available in the top menu of the screen shown in Figure 9.1.

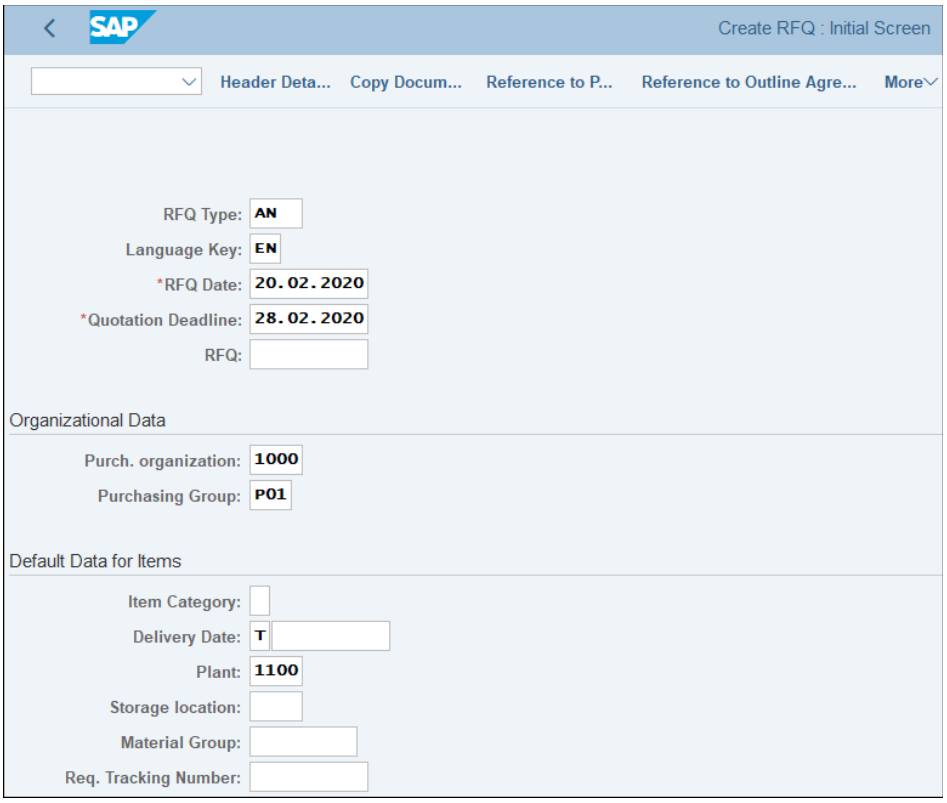

Figure 9.1 Initial Entry Screen for Transaction ME41: Create RFQ

9.1.1 Request for Quotation Type

The **RFQ Type** can be defined in the configuration and allows your company to distinguish between types of RFQs that may be sent out. The predefined RFQ type is **AN**, which doesn't need any configuration changes if your company has simple RFQ needs. If a business need exists to distinguish between several types of RFQs, then more RFQ types can be configured.

The configuration transaction can be found by following the navigation path **SAP IMG • Materials Management • Purchasing • RFQ/Quotation • Define Document Types**.

The configuration screen that appears is for an RFQ document type. The two-character field defines the document type; enter a description and number ranges for internal and external assignment.

The other field to note is the **GP bid** field, which is set if the RFQ is for a *global percentage (GP) bid*. The standard RFQ type for a GP bid is supplied with standard SAP, which is document type **AB**.

A GP bid is used by purchasing to send suppliers a price that purchasing is willing to pay for a service, rather than having the supplier send in a bid. In this case, the supplier will send back a percentage, either positive or negative, to indicate the level below or above the bid amount sent by the purchasing department that it can accept. Although uncommon, this method is less complicated than the normal RFQ procedure.

Tips & Tricks

In this configuration step, you can map and connect an RFQ document type with purchase requisition types. As a result, only purchase requisitions of specified document types are correctly converted into RFQs of the specified document type. Select the RFQ document type (such as **AN**) and then double-click on **Link Purchase requisition – document type** on the left. Then, add or remove specific document types of purchase requisitions allowed for the RFQ document type AN.

9.1.2 Request for Quotation Date

The **RFQ Date** field, shown earlier in Figure 9.1, defaults to the date of entry but can be overwritten with an appropriate date.

9.1.3 Quotation Deadline

The date entered in the **Quotation Deadline** field is the date by which the suppliers must reply to the RFQ with a quotation. This field is mandatory and should be clearly identified to suppliers on the RFQ print or fax document.

9.1.4 Request for Quotation Document Number

The RFQ document number, in the **RFQ** field shown earlier in Figure 9.1, is determined either externally or internally assigned. This configuration setting was defined in the configuration. The field should be maintained if the number assignment is external.

9.1.5 Organizational Data

The **Purch. Organization** and **Purchasing Group** should be maintained for the RFQ. The **Purch. Organization** is a four-character field, and the **Purchasing Group** is a three-character field.

9.1.6 Default Data for Items

A purchasing user can enter information pertinent to items that should be included in the RFQ. The fields that can be defaulted include **Item Category**, **Delivery Date**, **Plant**, **Storage Location**, **Material Group**, and **Req. Tracking Number**:

- **Item category**
  The following categories can be entered in the **Item Category** field:
  - **L**: Subcontracting
  - **S**: Third party
  - **D**: Service
  - (blank): Standard item category
- **Delivery date**
  This date is the **Delivery Date** for the item to be delivered or the service to be performed by the supplier.
- **Plant/storage location**
  These locations are your company's locations to which the item should be delivered or where the service should be performed. These locations are the default plant and storage locations for deliveries.
- **Material group**
  The **Material Group** can be used in lieu of a material number or service (if these values aren't known). The material group is assigned to each material when the material is created. This configured field groups together materials of similar characteristics. For example, if material group 017789 represents HD DVD players, then this material group can be entered in the RFQ if the actual material isn't known at the time, but the RFQ is for an HD DVD player.
- **Requirement tracking number**
  The requirement tracking number can be traced back to the original requisition if the requirement tracking number was entered at that level. The person entering the RFQ can use the **Req. Tracking Number** field to uniquely identify specific POs.

For example, if purchasing agents are entering a number of POs for a project, they may want to enter a unique requirement tracking number so that the relevant POs can be located together instead of having to know each individual PO number.

The header details for an RFQ are shown in Figure 9.2, which we'll describe in detail next. The data entered at the top of the initial screen are default values, and further information can be added in the **Administrative Fields** section.

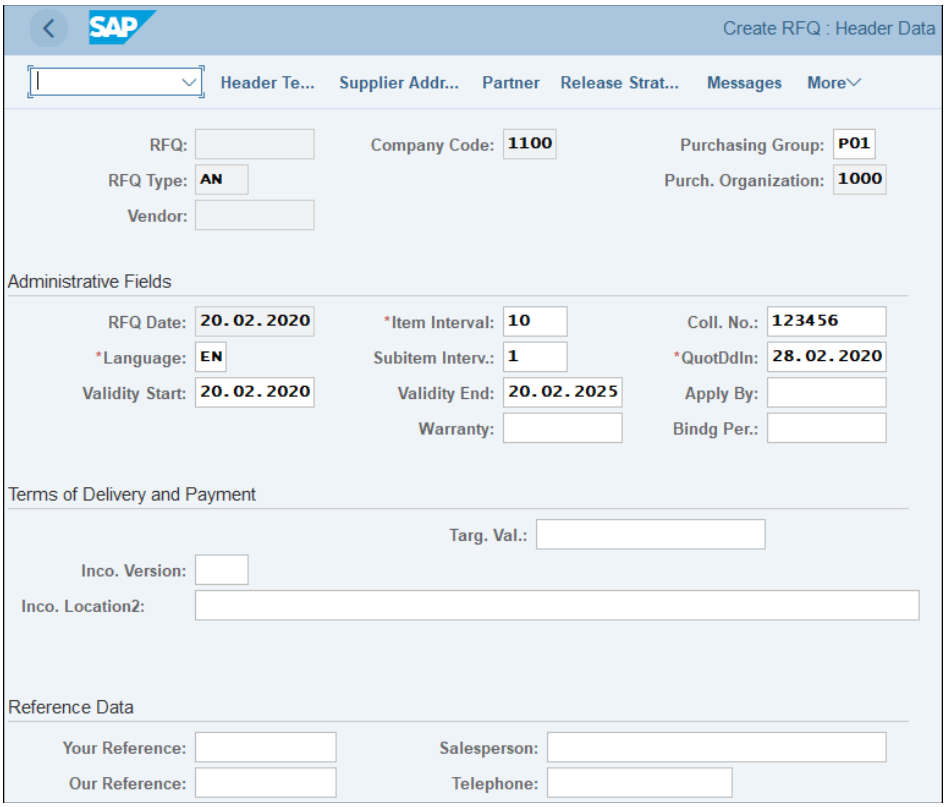

Figure 9.2 RFQ Header Details Screen

9.1.7 Collective Number

Companies that send out RFQs for a collective bid can use a collective number (**Coll. no.**). For example, when creating a new RFQ, dozens of new materials and new services may be needed. To collectively identify the many RFQs involved, use a collective

number to ensure that individual RFQs are tied to a single project. The collective number can be used to search purposes, and finding RFQs with a collective number is easier than finding them individually. Transaction ME4S allows you to display RFQs by collective number.

9.1.8 Validity Start/Validity End

The **Validity Start/Validity End** fields are defined as the dates during which the material or services should be delivered or performed.

9.1.9 Apply By

The **Apply By** date field is different from the quotation deadline date. The application date is the date by which the suppliers need to inform your company that they will submit quotations. This date doesn't necessarily need to be maintained, but if required, then this date must be clearly identified for prospective suppliers.

9.1.10 Binding Period

The **Bindg Per.** is the period of time after the quotation deadline during which the quotation should be valid. For example, if the quotation deadline is April 1, then the company may insist upon a binding period until May 31. This binding period allows your company to process quotations sent by suppliers.

9.1.11 Reference Data

The **Reference Data** can be added to the RFQ header that relates to the company's reference number and its contact information. This data can be printed out on the RFQ document sent to the supplier.

9.1.12 Request for Quotation Item Detail

The line item details include the item category (**Item**), the material number (**Material**), a description (**Short text**), the quantity (**RFQ Quantity**), the delivery date (**Deliv. date**), and the material group (**Mat Grp**).

Figure 9.3 shows the item detail, which allows purchasing users to add the materials or services that require the creation of RFQs. For this example, **Material 152** was entered with an **RFQ quantity** of **1,000** each.

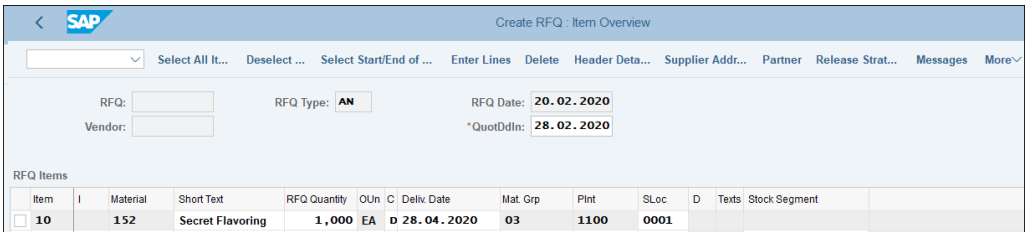

Figure 9.3 RFQ Item Detail Screen

9.1.13 Request for Quotation Delivery Schedule

After the item detail information has been added, additional information can be entered if relevant. For example, if an RFQ requires that the supplier deliver the material to the plant in a certain sequence on certain dates, this requirement can be entered on the **Create RFQ: Delivery Schedule** screen, shown in Figure 9.4. To access the **Create RFQ: Delivery Schedule** screen, click **Enter Lines** shown earlier in Figure 9.3.

As shown in Figure 9.4, a purchasing user can enter the date, the time, and the amount required on that date. Any number of delivery schedule lines can be entered for the amount of material specified in the line item.

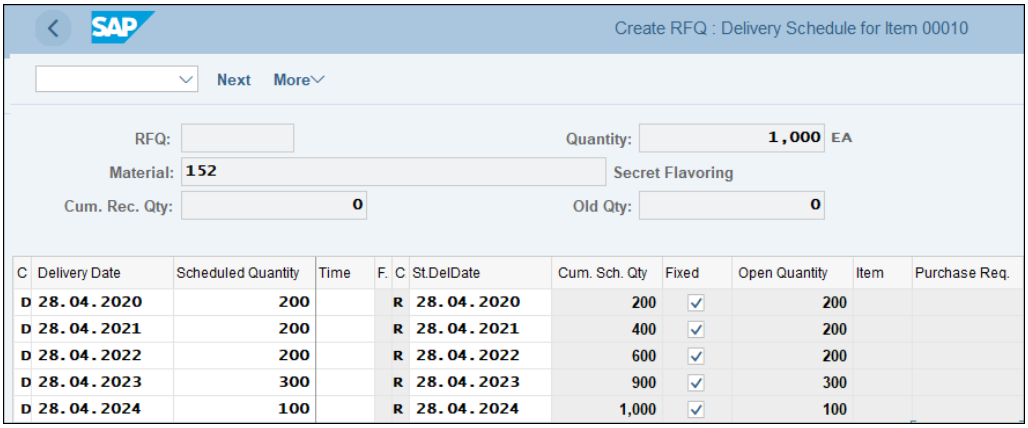

Figure 9.4 Delivery Schedule Screen for the RFQ Item

9.1.14 Additional Data

To enter any further data for the line item, a purchasing user can access the additional data screen by selecting **More • Additional Data**.

Figure 9.5 shows the data that can be added, including the planned delivery time and the reason for the order. The **Reason for Ord.** field is configurable and can be used by the purchasing department for statistical data collection. You can define the field in configuration by following the navigation path **SAP IMG • Materials Management • Purchasing • Purchase Order • Define Reasons for Ordering**.

The reason code (**OrRsn**) is a three-character field, and a short description (**Description**) can be added as appropriate for your company.

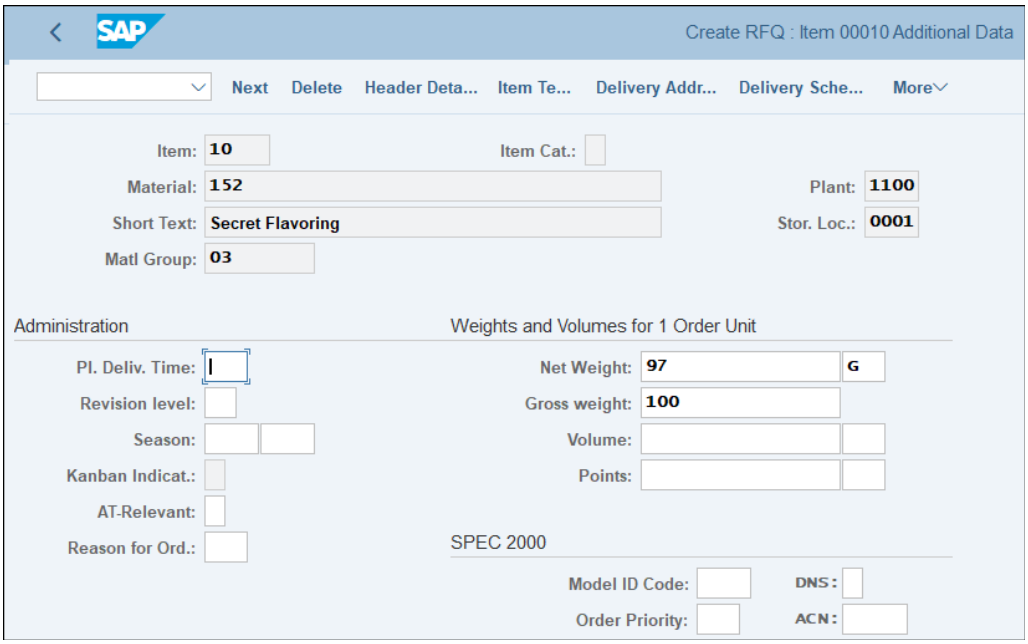

Figure 9.5 Additional Data Screen for the RFQ Line Item

9.1.15 Supplier Selection

After the material details have been entered with any additional data, an RFQ requires that a vendor (or vendors) be selected to receive the RFQ. The vendor can be selected by clicking **Header • Supplier Address**, as shown earlier in Figure 9.3, and the screen shown in Figure 9.6 appears.

On this screen, a purchasing user can select a vendor for the RFQ. After the vendor is entered, save the RFQ. The screen is refreshed, and the RFQ number appears on the status line at the bottom of the screen. The screen shown in Figure 9.6 allows another

vendor to be entered. If the RFQ should be sent out to more than one vendor, more vendor numbers can be entered, and saving after each addition creates a number of RFQ documents for the same item details.

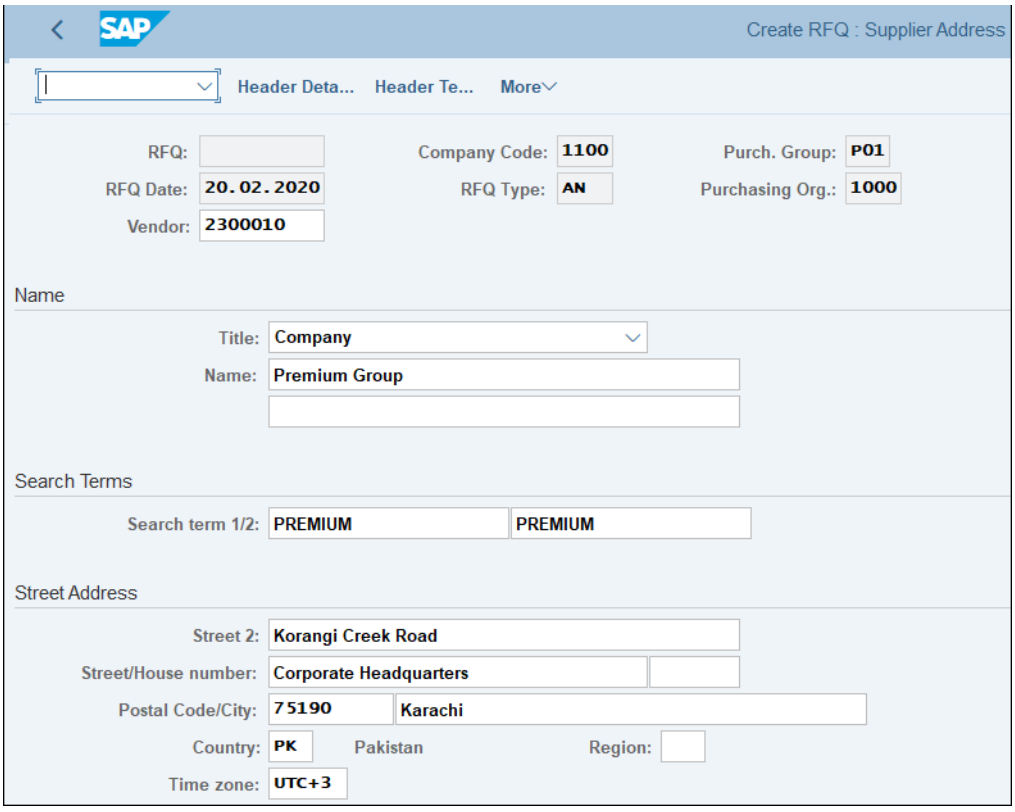

Figure 9.6 Assigning Vendors to the RFQ on the Vendor Address Screen

Now that we've examined how to create an RFQ, let's look at the process of changing an RFQ after it's been created.

9.2 Changing a Request for Quotation

RFQs can be changed using Transaction ME42 or by following the navigation path **Logistics • Materials Management • Purchasing • RFQ/Quotation • Request for Quotation • Change**.

If a purchasing user doesn't know the RFQ number to be changed, then a matchcode option can be selected, such as the following:

- **Purchasing Documents per Requirement Tracking Number**
- **Purchasing Documents per Collective Number**

After the correct RFQ number has been entered or selected via a matchcode, the RFQ line item detail is displayed, and certain fields become available for editing.

A number of fields can be edited, including the RFQ material quantity (**RFQ Qty**), the quotation deadline (**QuotDdln**), and the required delivery date (**Deliv. date**). Note that, if the RFQ has already been sent to the vendor, any changes to these dates must be communicated to the vendor associated with the RFQ. If a line item has been entered incorrectly, or if the RFQ is no longer needed, the line item can be deleted in Transaction ME42. To delete the line item, first select the line item and then set the delete indicator by choosing **Delete**. The deletion indicator can be removed by choosing **More • Edit • Reset Deletion Ind**. from the menu bar.

If a line item doesn't need to be deleted, but the status of the RFQ is in doubt, the line item can be blocked using Transaction ME42 as well. To block a line item, select it and then set the blocking indicator by choosing **More • Edit • Block**. The blocking indicator can be removed by choosing **More • Edit • Reset Deletion Ind**.

In this section, we showed you how to change RFQs. The next section discusses the methods by which an RFQ can be released.

9.3 Releasing a Request for Quotation

After the RFQ has been completed, the document can be subject to release. The release procedure is more often associated with purchase requisitions or POs but can be relevant for RFQs, depending on your needs.

The release procedure for RFQs only allows an RFQ to be released at the header level and not at the line item level. Therefore, the RFQ as a whole is released or not released. Transaction ME45 is used by the purchasing user to release RFQs. The same transaction (Transaction ME45) can also be used to release all types of purchasing documents, such as purchase requisitions, POs, and quantity or value contracts by choosing the relevant scope of the list.

The important fields and indicators on this screen are as follows:

- **Release code/release group/release strategy**
  The **Release Code** is the code that has been configured for a position in your company, such as manager, supervisor, and so on. A release code is associated with a release group. The **Release Group** contains a number of release strategies that are defined in configuration. The release strategy is configured using classification characteristics. A characteristic can be defined to allow ranges of values for the RFQ. Below a certain value, the RFQ won't be subject to the release strategy; above a certain amount, it will be. The release can be made using Transaction ME45.
- **Set release/cancel release**
  These indicators can be set to allow a purchasing user to release the relevant RFQs or to cancel their release.
- **Release prerequisite fulfilled**
  This indicator, when set, allows a purchasing user to view only those RFQs ready to be released. If the indicator isn't set, all RFQs are released, even if they haven't fulfilled all prerequisites.
- **List with items**
  If this indicator is set, then the RFQs will be shown with all their line item information shown. If the indicator isn't set, then only the header information for the RFQ is shown.
- **Scope of list**
  The **Scope of List** field is a variable that shows different information based on the selected value. The default value for Transaction ME45 is **ANFR**, which in this case represents RFQs with collective numbers. Pressing [F4] will open the scope of list selection screen to appear, from which different choices can be made.
- **Purchasing document category**
  The **Purchasing Document Category** for RFQs is a single character, for example, **A** for RFQs. Other document categories include **F** for POs, **K** for contracts, and **L** for scheduling agreements.
- **Other selection criteria**
  A number of other selection criteria fields can further narrow down the search for RFQs to be released in Transaction ME45. These criteria include **Purchasing Organization**, **Purchasing Group**, **Vendor, Document Number,** and **Document Date**.

After an RFQ has been released for sending to a number of vendors, the RFQ still must be issued to those vendors. The next section describes the mechanisms for issuing the RFQ.

9.4 Issuing a Request for Quotation to a Vendor

After an RFQ has been entered into the system, the purchasing department must decide to fax or otherwise send a copy to the particular vendors. An RFQ document can be printed using Transaction ME9A or by following the navigation path **Logistics • Materials Management • Purchasing • RFQ/Quotation • Request for Quotation • Messages • Print/Transmit**.

The screen that appears show that RFQs can be selected by a number of criteria. If the **Document Number** isn't known, the document can be found by entering the **Vendor**, **Purchasing Organization**, **Purchasing Group**, or **Document Date**, which is the date the RFQ was created.

After selection criteria have been entered and Transaction ME9A is executed, the results for the selection criteria are shown if any RFQs are found.

From the results, shown in Figure 9.7, the appropriate RFQ can be selected and then printed or transmitted. The resulting RFQ printout can be modified to reflect the company's business requirements by using ABAP, SAPscript, or a tool such as Adobe Form Designer, as shown in Figure 9.8.

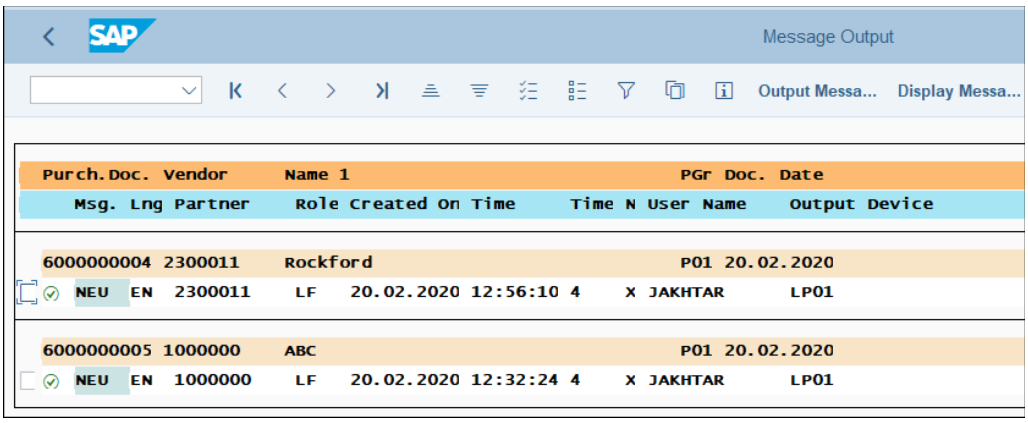

Figure 9.7 Result for the Selection Criteria of Transaction ME9A

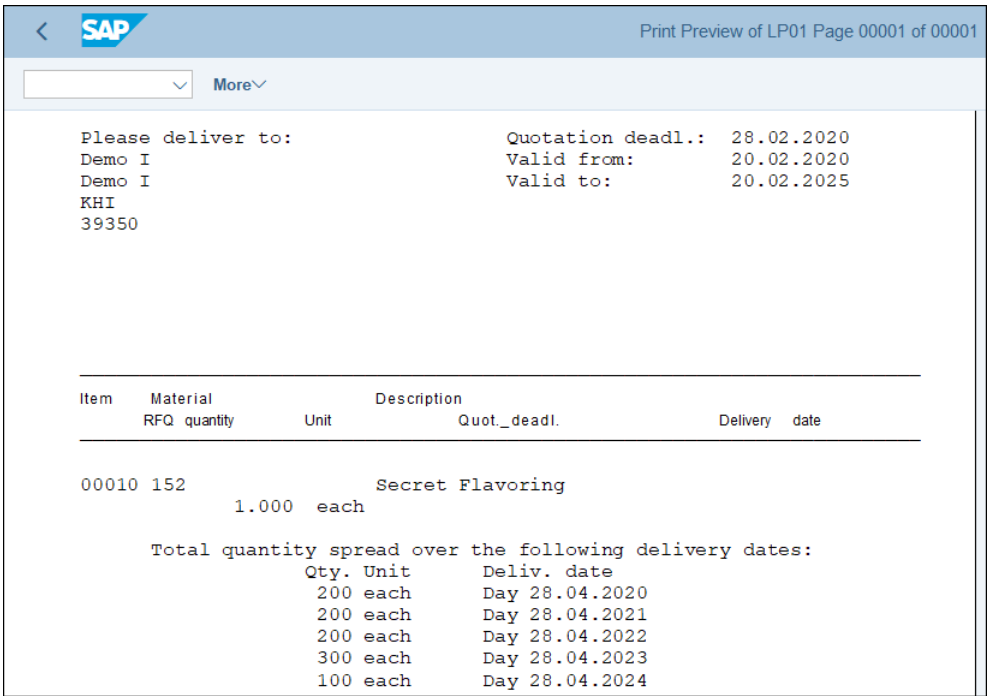

Figure 9.8 Message Output

After the purchasing department has received responses from the selected vendors that received then RFQ, the quotations can be entered into the system, comparisons made, and the most appropriate vendor bid accepted. In the next sections, we'll cover these quotation-related tasks.

9.5 Maintaining Quotations

A quotation that a vendor has responded to should be entered into the SAP system in a timely manner due to the deadline set within each RFQ. The quotation can be entered into the system by using Transaction ME47 or by following the navigation path **Logistics • Materials Management • Purchasing • RFQ/Quotation • Quotation • Maintain**. The initial screen of Transaction ME47 requires a purchasing user to enter a single RFQ number.

The vendor's bid includes details for the line items that must be entered into the screen. As shown in Figure 9.9, a vendor has quoted a price of 120 USD each (**EA**) for

the **Material 152**. For each vendor quotation submitted, the appropriate RFQ needs to be maintained.

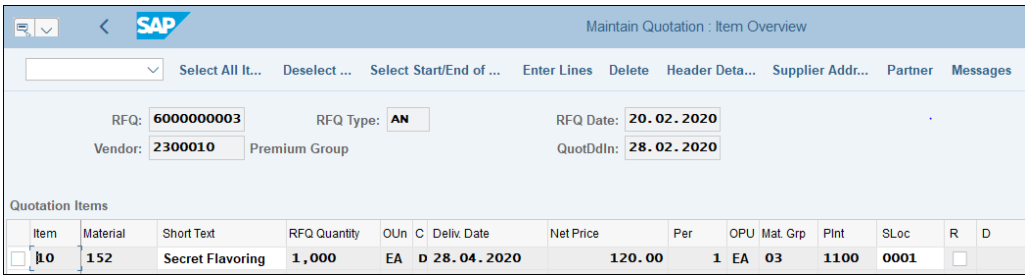

Figure 9.9 Line Item Screen for the Quotation Maintenance

The price quotation can be entered as a single figure in the **Net Price** field. If discounts, taxes, or other conditions are offered, these conditions can be added into the system using the **Conditions** screen.

Figure 9.10 shows that an entry was made for a quotation of **125 USD** per item. In the condition record, a further entry has been made using the condition for a discount (**RA00**) of 4%. A further entry has been made for the freight (**FRB1**) to be charged by the vendor for the items to be delivered, which in this case is 4,000 USD. On this screen, any tax details relevant for the purchase or further discounts and freight costs can be added.

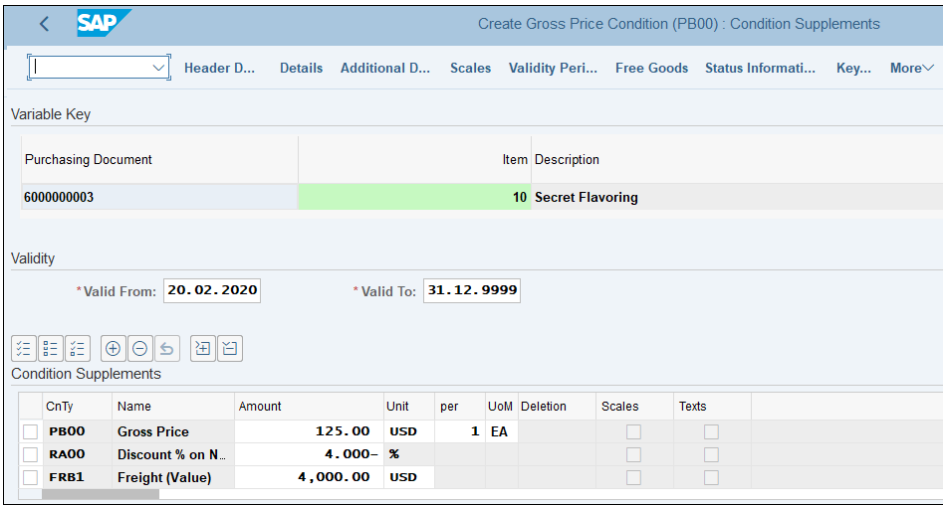

Figure 9.10 Quotation Price Entered into the Conditions Screen

After the quotation has been entered, quotations must be compared to select the vendor who will be offered the purchase order. This next section examines how quotations are compared.

9.6 Comparing Quotations

After the quotations have been entered for the RFQs sent to vendors, then the purchasing department reviews them and decides on the vendor for the material or service that won the bid.

One element of the quotation process is reviewing the bids on a price comparison basis. This comparison is the most basic analysis and may not necessarily be the deciding factor. Each purchasing department will have to develop a procedure for selecting vendors based on RFQs/quotation responses.

9.6.1 Price Comparison Factor in Quotations

Price comparisons can be performed using Transaction ME49 or by following the navigation path **Logistics • Materials Management • Purchasing • RFQ/Quotation • Quotation • Price Comparison**.

Price comparisons can be performed between several quotations, and these quotations can be selected using a number of selection criteria, such as **Purchasing Organization**, **Vendor**, **Material**, or **Collective RFQ** number. The collective number is the most useful field when sending a number of RFQs to different vendors and can be used to easily make comparisons. The other criteria in Transaction ME49 include the following comparison value criteria:

- **Reference Quotation**
  This criterion is the quotation against which all others are compared. If no **Reference Quotation** is entered, then the quotations are compared against each other.
- **Mean Value Quotation**
  If this indicator is set, then the comparisons are made against the average price of the quotations. All the quotations are averaged, and the average quote is ranked at 100%. The quotes then reflect a percentage that shows whether the price is above or below the average. Thus, a lower-than-average quote will show a percentage below 100%; a higher-than-average quote will show a percentage of greater than 100%.

- **Minimum Value Quotation**
  If this indicator is set, then the comparisons are made against the lowest price quotation. As a result, the first rank, or the best price quote, is a 100% rank. All other more expensive quotes will show a percentage that is calculated from the lowest bid, that is, 124%, 136%, and so on.
- **Percentage Basis**
  The **Percentage Basis** allows a purchasing user to specify which value will be used as the 100% basis. The user can choose the mean price, the maximum price, or the minimum price, which alters how the rank percentage is shown in the quotations.

In addition to the value comparison criteria, the following price comparison criteria indicators can be set:

- **Include Discounts**
  If this indicator is set, the quotation comparison will include any price discounts that the vendor has applied. If the indicator isn't set, then the discounts won't be used in the comparison.
- **Include Delivery Costs**
  If the indicator is set, then the delivery costs will be included in the price on the quotation and therefore used in the quotation comparison. Delivery costs can include the freight costs, duties levied, or other procurement costs such as packing, insurance, and handling.
- **Determine Effective Price**
  This indicator is set if cash discounts and delivery costs should be included in the price comparison.

After the selection criteria have been entered, the price comparison is obtained.

Figure 9.11 shows a price comparison for collective RFQ number 6, featuring the quotations from four vendors, or bidders, for a quantity (**Qty**) of **Material 152**. The price comparison has the **Mean Value Quotation** indicator set. In other words, the average price has been set as 100%, and bids will be a lower percentage or a higher percentage. If a vendor does not submit the quotation, then all details in the price comparison are empty.

Price Comparison List in Currency PKR

From First Colu... Scroll to ... Scroll to Ri... On Last Colu... Quotati... Mater... Supplier Additional I...

Material	Quot.:	6000000005	6000000004	6000000003
Sh. Text	Bidder:	1000000	2300011	2300010
Qty. in Base Unit	Name:	ABC	Rockford	Premium Group
152	Val.:	100,000.00	110,000.00	38,500,000.00
Secret Flavoring	Price:	100.00	110.00	38,500.00
1,000 EA	Rank:	1 1 %	2 1 %	3 298 %
Total Quot.	Val.:	100,000.00	110,000.00	38,500,000.00
	Rank:	1 1 %	2 1 %	3 298 %

Figure 9.11 Price Comparison among Four Quotations

9.6.2 Other Qualitative Factors in Quotations

The price comparison report provides a clear indication to the purchasing department about which bidder is offering your company the best price for a material. However, the best price may only be one of several factors that the purchasing department wants to take into account. Many purchasing organizations believe that choosing vendors based only on the lowest bid dollar amount results in purchasing lower-quality goods. Successful bids are more often awarded on a comparative evaluation of price, quality, performance capability, and other qualitative factors that will prove the most advantageous to your company.

Other qualitative factors may be identified by a purchasing department, including the following:

- **Previous relationship with client**
  If the bidder has a successful relationship with the company, this relationship history may be taken into account in any final decision on the winner of the bid.
- **Compliance with the Equal Employment Opportunity Act (US)**
  Many companies insist that vendors be in compliance with the Equal Employment Opportunity Act (EEOA). For example, the EEOA can be violated if a company discriminates by a number of factors, including age, disability, national origin, race, or religion.

- **Strategic alliances**
  Your company may have a number of strategic alliances with vendors or trading partners, which may influence the decision to award a bid.
- **Minority-owned and women-owned businesses (US)**
  Some companies may prefer minority-owned or women-owned businesses for certain contracts or POs. If the RFQ falls into an area where your company has indicated a preference for this type of vendor, then this factor may have more weight in the award decision than the price.
- **Warranty and return policies**
  The warranty period of an item or the return policy offered by the bidder can be quite important to the purchaser. For example, if the RFQ is for laptops, the purchaser may be more inclined to accept a bidder with a higher price per unit if the warranty is for two years, than to select a bidder offering only a six-month warranty. The same is true for return policies. The easier the return procedure, the more attractive a bid from a supplier becomes.
- **Creative pricing**
  Often, a bidder may not offer the best price in response to an RFQ but may offer a creative pricing schedule. Purchasing departments are often looking for ways to reduce cost outlays and may welcome vendors who can offer your company ways of purchasing material with delayed payments or payments based on performance.
- **Technical evaluation**
  While a vendor may submit a quotation with competitive price, the offered product must still meet the technical criteria and specifications laid out by the purchaser.

In the next section, we'll look at the process of rejecting quotations that haven't been selected and communicating the purchasing decision to these vendors.

9.7 Rejecting Quotations

After the purchasing department has compared quotations from bidders, as described in the previous section, the vendors whose quotations were rejected must be informed. In the system, these quotations also must be flagged as rejected, so that a purchasing user doesn't accidentally convert a rejected quotation into a PO.

9.7.1 Flagging the Quotation as Rejected

Unsuccessful quotations can be flagged as rejected in the system using Transaction ME47 or by following the navigation path **Logistics • Materials Management • Purchasing • RFQ/Quotation • Quotation • Maintain**.

In this process, a purchasing user enters the **RFQ** number for the quotation to be rejected, as shown in Figure 9.12. The line item should be flagged by selecting the checkbox in the rejected column (**R**) to reflect that the quotation has been rejected.

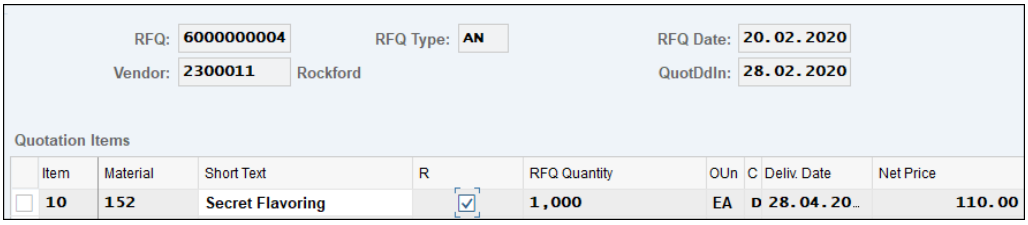

Figure 9.12 Quotation Flagged as Rejected

9.7.2 Printing the Quotation Rejection

If appropriate, all unsuccessful vendors in the RFQ process will be notified by the client representative, often the purchasing department, in writing. Notifications should be made as quickly as possible following the award of the contract, or when it has been determined that the vendor won't be asked to continue in the RFQ process.

A rejection letter can be printed out from the system using Transaction ME9A or by following the navigation path **Logistics • Materials Management • Purchasing • RFQ/Quotation • Request for Quotation • Messages • Print/Transmit**.

For each rejected quotation, a rejection notice can be printed based on the **RFQ** number. The purchasing user enters the correct **Message Type** rejection quotation, which in our case is **ABSA**. Your company can modify the standard rejection notice with SAPscript or with tools such as Adobe Form Designer.

9.7.3 Advising Unsuccessful Bidders

Sometimes, a rejection notice isn't the most appropriate manner to reject a vendor's quotation submission. If the RFQ is for a particular project or of large monetary value, your company may decide that all unsuccessful vendors should be given, or may

request, a debriefing session with respect to their submissions. These sessions should concentrate on the strengths and weaknesses of the individual vendor's response.

How quotations are rejected should be part of your company's overall purchasing policy. Check with individual purchasing departments for the correct method to use.

9.8 Summary

In this chapter, we described the receiving and processing of quotations from vendors in response to an RFQ. A quotation allows the purchasing department to review the price and terms offered by each vendor and to make the best decision for your company based on the replies given by vendors. The acceptance of a quotation and the issuing of a PO will reflect that a specific vendor has the right to supply the material to the customer for a period of time. Purchasing departments periodically seek quotations from other vendors to ensure that the material can't be procured at a better price elsewhere.

RFQs are important for the purchasing because they are powerful tools with which a department can influence a vendor's price, terms, and conditions in a competitive bid situation. The process we examined in this chapter looked at the available tools in the SAP system designed to simplify the RFQ process while allowing for the flexibility crucial for complex situations commonly found in purchases for large projects.

In Chapter 10, we'll discuss the next step in the RFQ scenario: creating purchase orders with and without reference to a quotation.